

for scarcity, and hence for the acceptance of inferior issues merely because they fall within these groups. This has in fact been one of the unfortunate results of the present legislative restrictions.

Individual Strength May Compensate for Inherent Weakness of a Class.

It would seem a sounder principle, therefore, to require a stronger exhibit by the *individual* bond to compensate for any weakness supposedly inherent in its *class*, rather than to seek to admit all bonds of certain favored groups and to exclude all bonds of others. An industrial bond may properly be required to show a larger margin of earnings over interest charges and a smaller proportion of debt to going-concern value than would be required of an obligation of a gas or electric enterprise. The same would apply in the case of traction bonds. In connection with the exclusion of *water-company bonds* by the New York statute, it should be noted that this group is considered by most other states to be on a par with gas, electric, and telephone obligations. There seems to be no good reason for subjecting them to more stringent requirements than in the case of other types of public-service issues.

The 1938 Amendment to the Banking Law. In 1938 the New York legislature, recognizing the validity of these objections to categorical exclusions, proceeded to relieve the situation in a rather peculiar manner. It decreed that the Banking Board could authorize savings banks to invest in interest-bearing obligations not otherwise eligible for investment, provided application for such authorization shall have been made by not less than 20 savings banks, or by a trust company, all of the capital stock of which is owned by not less than 20 savings banks. (This meant the Savings Bank Trust Company of New York.)

Clearly this amendment goes much farther than a mere widening of the categories of savings-bank investment. What it does, in fact, is to supersede—potentially, at least—all the specific requirements of the law (other than the primary insistence on interest-paying bonds) by the combined judgment of the savings banks themselves and the Banking Board. This means that, in theory, all seven of the criteria imposed by the law may be set aside by agreement of the parties. Obviously there is no practical danger that the legislative wisdom of the statute will be completely flouted. In fact, investments authorized by virtue of this new provision up to the end of 1939 are all unexceptionable in character. They